

INDIA INC'S MOOD HAS PLUMMETED TO A RECORD LOW AS PER THE BT-C FORE BUSINESS CONFIDENCE INDEX FOR THE SECOND QUARTER OF THE FISCAL. WILL PEACE IN WEST ASIA IMPROVE SENTIMENT?

BY **SURABHI**



Forecast of a below-average monsoon has raised concerns over rural incomes and demand

Experts believe even with a peace deal, the second quarter will be difficult. Normalcy will take time to return



IT'S BEEN A difficult four months since the US and Israel attacked Iran on February 28. India may have started the crisis from a position of strength and enjoyed a brief Goldilocks moment of high growth and low inflation, but the ensuing days have thrown up unforeseen challenges for both policymakers and industry.

The closure of the Strait of Hormuz choked not just crude oil flows but also impacted import and export of critical raw materials and finished goods. Together, these cast a shadow on global growth prospects and fuelled inflationary pressures. The volatile geopolitical environment also led to a flight of capital and was partly responsible for the sharp depreciation of the rupee and challenges of the current account deficit.

Though the interim peace deal between the US and Iran in June has led to resumption of shipping through the Strait of Hormuz, the mood remains grim amid concerns about the longevity of the peace deal and questions over how long it would take for supply chains and prices to normalise. Meanwhile, the prospect of a super El Niño resulting in deficient rainfall this year and affecting the agrarian economy is cause for further worry.

This mood of pessimism pervaded in the BT-C Fore Business Confidence Survey of 500 CEOs and CFOs for the second quarter of financial year 2026-27 (Q2FY27).

The Business Confidence Index (BCI) contracted to 44.6 for the July–September quarter on a scale of 100, down from 47.2 in the previous quarter. A reading below 50 shows that sentiments have soured and are in the red.

Though not exactly comparable with earlier data because the BCI was revamped in the previous quarter to reflect views on the upcoming quarter, a quick scan of historical data shows that the confidence score for Q2FY27 is the third-lowest since the survey began in 2011.

Prior to this, the BCI was at a record low during the Covid-19

31